SAMPLE CHAPTER · DRAFT FOR EDITORIAL REVIEW

2025: A History

Chapter 2: The Tariff Year

ABOUT THIS DRAFT

This chapter was drafted with Claude, an AI system, from a research dossier of opened primary documents, official statistics and analyses, and is presented to its editor for review. Every footnoted sentence rests on recorded findings; nothing is cited to Wikipedia, which served only as a finding aid. Sources are limited to those published by 31 October 2026.

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The Tariff Year

"I hereby declare a national emergency with respect to this threat."

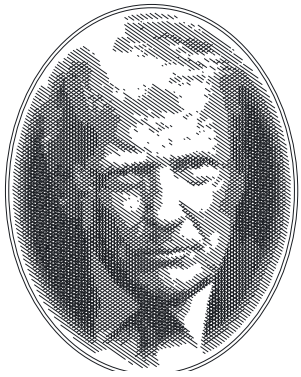
— Executive Order 14257, 2 April 2025[1]

A national emergency

On 2 April 2025 President Donald Trump signed an executive order declaring that the country's trade deficits had become a national emergency.[2] The order found that a lack of reciprocity in trade, foreign tariffs and other barriers, and the policies of partners that held down their own wages and consumption together "constitute an unusual and extraordinary threat to the national security and economy of the United States."[3] It pointed to a goods deficit that had grown by more than 40 per cent in five years, to $1.2 trillion in 2024.[4]

The remedy was a tariff on almost everything. From 5 April a duty of 10 per cent applied to goods from nearly every country, and from 9 April higher rates applied to 57 trading partners named in an annex, ranging from 11 to 50 per cent.[5] China's rate was 34 per cent, the Euro-

[1] "Executive Order 14257: Regulating Imports With a Reciprocal Tariff (90 FR 15041)," 7 April 2025, Preamble, 90 FR 15041.
[2] Executive Order 14257, 90 FR 15041, heading and preamble.
[3] Executive Order 14257, Preamble, 90 FR 15041.
[4] Executive Order 14257, Sec. 1, 90 FR 15044.
[5] Executive Order 14257, Sec. 3(a), 90 FR 15045; Annex I, 90 FR 15049-15050.



Donald Trump

pean Union's 20, Japan's 24, India's 26 and Vietnam's 46; the highest, 50 per cent, fell on Lesotho.[6] Cargo already at sea was spared. So were whole categories: steel, aluminium and cars, already covered by other tariffs, and a long annex of products from copper and pharmaceuticals to semiconductors and energy.[7]

The order was the centrepiece of the year's trade policy, but not its beginning. By April the administration had already put tariffs on Canada, Mexico, China and steel, and had announced them on cars.[8] In the months that followed it extended them to copper, timber and heavy trucks, and turned them on Brazil and India for reasons that had nothing to do with trade balances.[9]

This chapter argues that in 2025 the tariff stopped being an instrument of trade policy and became an all-purpose tool of presidential power. It raised a great deal of money: customs receipts more than

[6] Executive Order 14257, Annex I, 90 FR 15049-15050.

[7] Executive Order 14257, Sec. 3(a)-(b), 90 FR 15045-15046.

[8] "Executive Order 14193: Imposing Duties To Address the Flow of Illicit Drugs Across Our Northern Border (90 FR 9113)," 7 February 2025, Sec. 2; "Executive Order 14194: Imposing Duties To Address the Situation at Our Southern Border (90 FR 9117)," 7 February 2025, Sec. 2(a); "Executive Order 14195: Imposing Duties To Address the Synthetic Opioid Supply Chain in the PRC (90 FR 9121)," 7 February 2025, Sec. 2(a); "Proclamation 10896: Adjusting Imports of Steel Into the United States (90 FR 9817)," 18 February 2025, Clauses 1-2; "Proclamation 10908: Adjusting Imports of Automobiles and Automobile Parts (90 FR 14705)," 3 April 2025, Clause 1.

[9] "Proclamation 10962: Adjusting Imports of Copper Into the United States," 5 August 2025, Clause 2; "Proclamation 10976: Adjusting Imports of Timber, Lumber, and Their Derivative Products (90 FR 48127)," 6 October 2025, Clauses 1-3; "Proclamation 10984: Adjusting Imports of Medium- and Heavy-Duty Vehicles, Parts, and Buses (90 FR 48451)," 22 October 2025, Clause 1; "Executive Order 14323: Addressing Threats to the United States by the Government of Brazil (90 FR 37739)," 5 August 2025, Sec. 1-2; The White House, "Executive Order 14329: Addressing Threats to the United States by the Government of the Russian Federation (India)," 6 August 2025, Sec. 2.

tripled, to about $264.0 billion for the calendar year.[10] It moved trade from one supplier to another. It did not shrink the goods deficit it had been declared to cure, which grew to $1,240.9 billion.[11] And its legal foundation was rejected by the trade court, the appeals court and the Supreme Court, though only after the year's duties had been collected.[12]

Two kinds of power

The Constitution gives the power to lay duties to Congress, not the President, and in the litigation that followed the government conceded as much: it claimed no inherent presidential authority to impose tariffs in peacetime.[13] The tariffs of 2025 therefore rested on statutes in which Congress had delegated power, and the administration used two very different kinds.

The first was national security. Section 232 of the Trade Expansion Act of 1962 lets the President adjust imports that threaten to impair national security, after an investigation by the Commerce Department. The steel proclamation of 10 February used it to restore a 25 per cent tariff on steel from every country from 12 March, ending the exemptions that several partners had negotiated since 2018; aluminium was raised to 25 per cent the same day.[14] The proclamation cited the Commerce Secretary's view that the earlier tariff had worked, lifting domestic steel capacity utilization above 80 per cent.[15] The same authority would later cover cars, copper, timber and trucks.[16]

The second kind of power was new. The International Emergency Economic Powers Act, known as IEEPA, allows the President to "regulate" imports in response to a declared national emergency. As the

[10] U.S. Department of the Treasury, Bureau of the Fiscal Service, "Monthly Treasury Statement, Table 4: Receipts of the United States Government (Fiscal Data API)," undated, Customs Duties, monthly net receipts, 2024-2025.
[11] U.S. Census Bureau and Bureau of Economic Analysis, "U.S. International Trade in Goods and Services, December and Annual 2025 (CB 26-31, BEA 26-09)," 19 February 2026, Annual Summary for 2025.
[12] United States Court of International Trade, "V.O.S. Selections, Inc. v. United States, Slip Op. 25-66," 28 May 2025, Conclusion; United States Court of Appeals for the Federal Circuit, "V.O.S. Selections, Inc. v. Trump, Nos. 2025-1812, 2025-1813 (en banc)," 29 August 2025, Part VI; Supreme Court of the United States, "Learning Resources, Inc. v. Trump, No. 24-1287 (slip opinion)," 20 February 2026, Syllabus, pp. 1-2.
[13] Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, p. 2.
[14] Proclamation 10896, Clauses 1-2, Proclamation 10896.
[15] Proclamation 10896, Clause 4, Proclamation 10896.
[16] Proclamation 10908, Clause 1; Proclamation 10962, Clause 2; Proclamation 10976, Clauses 1-3; Proclamation 10984, Clause 1.

Chief Justice later observed for three members of the Supreme Court, "in IEEPA's half century of existence, no President has invoked the statute to impose any tariffs."[17] In 2025 it became the legal basis for the broadest tariffs of the year.

The emergencies were of several kinds. The first three orders, signed on 1 February, cited drugs: illicit drugs crossing the northern border from Canada, drugs and illegal migration across the southern border from Mexico, and the supply chain for synthetic opioids in China.[18] The April order cited the trade deficit itself and the decline of manufacturing.[19] Later orders cited a partner's purchases of Russian oil and, in Brazil's case, the actions of its courts.[20] The orders reserved the power to raise rates if a partner retaliated, and the April order the power to lower them if a partner "align[ed]" with the United States on economic and national security matters.[21] The tariff had become a lever that could be pulled for almost any purpose.

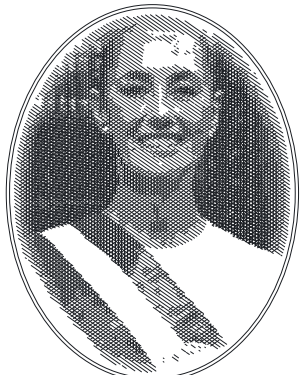
Neighbours first

The first targets were the closest partners. On 1 February orders imposed an additional duty of 25 per cent on goods from Canada and Mexico and 10 per cent on Canadian energy, to take effect on 4 February.[22] The same orders withdrew duty-free treatment for low-value parcels, the so-called de minimis rule.[23]

Canada answered the same day. Its government announced counter-tariffs of 25 per cent on C$155 billion of American goods, beginning with C$30 billion of products such as orange juice, peanut butter, wine, spirits, beer and appliances, and following with C$125 billion after a three-week consultation.[24]

Mexico chose a different course. On 3 February President Claudia Sheinbaum announced a one-month pause in exchange for reinforcing the northern border with 10,000 members of the National Guard

[17] Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, p. 3.
[18] Executive Order 14193, Sec. 1-2; Executive Order 14194, Sec. 2(a); Executive Order 14195, Sec. 2(a).
[19] Executive Order 14257, Preamble; Sec. 1.
[20] Executive Order 14329, Sec. 2; Executive Order 14323, Sec. 1.
[21] Executive Order 14193, Sec. 2(d); Executive Order 14257, Sec. 4(b)-(c).
[22] Executive Order 14193, Sec. 2; Executive Order 14194, Sec. 2(a).
[23] Executive Order 14193, Sec. 2(h).
[24] Department of Finance Canada, "Canada announces $155B tariff package in response to unjustified U.S. tariffs," 1 February 2025, News release, 1 February 2025.



Claudia Sheinbaum

to stop the smuggling of drugs, and especially fentanyl.[25] The United States, she said, would for its part work against the trafficking of arms into Mexico, and the two governments set up working groups on security and trade. Mexico announced no counter-tariffs.[26] Canada obtained its own pause the same day, and both were formalised in orders dated 3 February.[27]

The pauses did not last. When they ended in early March, Canada's first counter-tariffs, on C$30 billion of American goods, took effect on 4 March.[28] In early March the United States exempted goods that qualified under the United States-Mexico-Canada Agreement and cut the rate on Canadian potash to 10 per cent.[29] President Sheinbaum announced that Mexican goods within the agreement would pay nothing.[30] When the global steel and aluminium tariffs took effect on 12 March, Canada added counter-tariffs on C$29.8 billion of steel, aluminium and other goods the next day; when American tariffs on cars arrived in April, it taxed American vehicles from 9 April.[31]

[25] Presidencia de la República (Mexico), "Presidenta de México: Aranceles se pausan un mes; se establecerán mesas de trabajo con el gobierno de EUA," 3 February 2025, Communiqué, 3 February 2025.
[26] Presidenta de México, Communiqué, 3 February 2025.
[27] Executive Order 14257, Sec. 3(d).
[28] Department of Finance Canada, "Canada's response to U.S. tariffs (archived)," undated, Archived response page.
[29] "Executive Order 14325: Amendment to Duties To Address the Flow of Illicit Drugs Across Our Northern Border," 6 August 2025, Preamble; Executive Order 14257, Sec. 3(d).
[30] Presidencia de la República (Mexico), "México fue tratado con mucho respeto y llegamos a este acuerdo: Presidenta; no se pagarán aranceles en productos dentro del T-MEC," 6 March 2025, Communiqué, 6 March 2025.
[31] Proclamation 10896, Clauses 1-2; Canada's response to U.S. tariffs (archived), Archived response page.

On 2 April, the day of the global order, the Senate voted 51 to 48 to terminate the emergency on which the Canadian tariffs rested, with four Republicans, Susan Collins, Mitch McConnell, Lisa Murkowski and Rand Paul, voting in favour.[32] The tariffs on Canada nonetheless remained.

Through the summer the two neighbours' paths diverged further. On 31 July the United States raised the duty on Canadian goods outside the agreement from 25 to 35 per cent from 1 August, citing Canada's retaliation.[33] The same day President Sheinbaum announced a ninety-day standstill for Mexico after a call with President Trump: no increase, the agreement's goods still exempt, and the existing tariffs on cars, steel and aluminium left in place.[34] A month later Canada retreated. From 1 September it removed most of its March counter-tariffs, keeping those on steel, aluminium and cars, on the ground that most Canadian goods now entered the United States free under the agreement.[35] By the end of the year the neighbour that had never retaliated and the one that had stood in much the same place.

The April shock

The 2 April order was followed by days of turbulence in financial markets. Federal Reserve staff later described the prices of risky assets as "extremely volatile" amid tariff developments, and the tariff announcements as causing "a significant deterioration in global risk sentiment."[36] Equity prices fell sharply before recovering.[37]

The bond market moved too. The yield on ten-year Treasury notes fell from 4.20 per cent on 2 April to 4.01 per cent on 4 April and then rose to 4.48 per cent by 11 April, a rise of 47 basis points in a week.[38] Fed staff noted that liquidity in the Treasury market deteriorated after

[32] United States Senate, "Roll Call Vote 119th Congress, 1st Session, Vote 160: S.J.Res. 37," 2 April 2025, Vote 160.
[33] Executive Order 14325, Sec. 1-2.
[34] Presidencia de la República (Mexico), "Evitamos el aumento de aranceles y logramos 90 días para construir un acuerdo de largo plazo: Presidenta Claudia Sheinbaum," 31 July 2025, Communiqué, 31 July 2025.
[35] Canada's response to U.S. tariffs (archived), Archived response page.
[36] Board of Governors of the Federal Reserve System, "Minutes of the Federal Open Market Committee, May 6-7, 2025," 28 May 2025, Staff review of the financial situation.
[37] Minutes of the Federal Open Market Committee, May 6-7, 2025, Developments in financial markets.
[38] U.S. Department of the Treasury, "Daily Treasury Par Yield Curve Rates, 2025 (CSV)," undated, Rows 31 March-16 April 2025.

2 April, though the market continued to function, and that the trade-weighted dollar fell by more than 2 per cent.[39]

China retaliated first. On 4 April its State Council Tariff Commission announced a 34 per cent tariff on all American goods, effective 10 April, and the commerce ministry imposed export licensing on seven rare earths.[40] On 8 April the United States raised its rate on China from 34 to 84 per cent, effective the next day.[41] China matched it the following day.[42]

Then, on 9 April, the President changed course for everyone but China. A new order suspended the country-specific rates for ninety days, until 9 July, leaving a flat 10 per cent, and raised the rate on China again, to 125 per cent.[43] The order gave its reason: "more than 75 other foreign trading partners" had approached the United States to negotiate rather than retaliate.[44] Two days later a presidential memorandum exempted computers, smartphones and semiconductors from the reciprocal tariffs altogether, retroactive to 5 April, with refunds for duties already paid.[45] Fed staff recorded that the deterioration in sentiment "largely reversed" after the pause.[46]

The China spiral and the truce

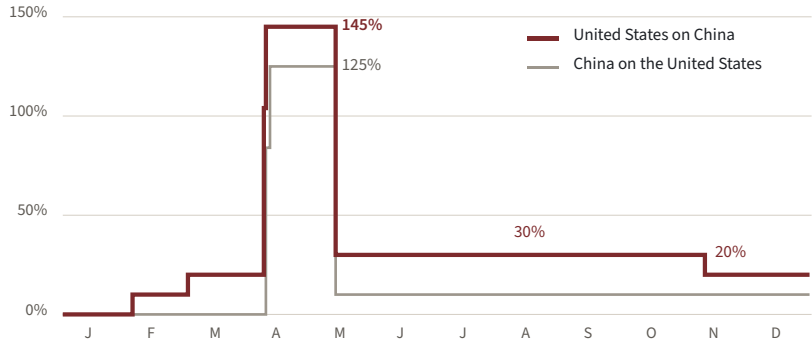
With China, escalation had begun in February and was answered step for step. The 10 per cent duty of 4 February brought Chinese duties from 10 February of 15 per cent on American coal and liquefied natural gas and 10 per cent on crude oil, farm machinery, large cars and

[39] Minutes of the Federal Open Market Committee, May 6-7, 2025, Staff review of the financial situation.
[40] "Executive Order 14259: Amendment to Reciprocal Tariffs and Updated Duties as Applied to Low-Value Imports From the PRC," 14 April 2025, Sec. 1; Ministry of Commerce and General Administration of Customs, PRC, "Announcement No. 18 of 2025: export control on certain medium and heavy rare earth items," 4 April 2025, Announcement No. 18 of 2025.
[41] Executive Order 14259, Sec. 2.
[42] Customs Tariff Commission of the State Council (via Ministry of Finance, PRC), "Adjustments to Additional Tariffs on U.S. Imports (34 to 84 per cent)," 9 April 2025, Announcement of 9 April 2025.
[43] "Executive Order 14266: Modifying Reciprocal Tariff Rates To Reflect Trading Partner Retaliation and Alignment," 15 April 2025, Sec. 2-3.
[44] Executive Order 14266, Preamble, 90 FR 15626.
[45] The White House, "Clarification of Exceptions Under Executive Order 14257 of April 2, 2025, as Amended," 11 April 2025, Memorandum, 11 April 2025.
[46] Minutes of the Federal Open Market Committee, May 6-7, 2025, Staff review of the financial situation.

pickups.[47] When the American duty rose to 20 per cent in March, China imposed from 10 March duties of 15 per cent on chicken, wheat, corn and cotton and 10 per cent on sorghum, soybeans, pork, beef, seafood, fruit, vegetables and dairy.[48]

In April the two rates chased each other upward. After the American increase to 125 per cent, China raised its own to 125 per cent from 12 April, adding that further American increases would make no difference: "Even if the United States continues to raise tariffs, such action would serve no economic purpose."[49] On most Chinese goods the United States now charged 125 per cent under the April order plus 20 per cent under the fentanyl order, a total of 145 per cent.[50] Duties on low-value parcels from China, which lost their exemption from 2 May, were raised to 120 per cent of value.[51]

Additional tariffs on each other's goods, 2025



Additional duty on most Chinese goods charged by the United States (fentanyl and reciprocal orders combined) and China's across-the-board duty on American goods, by effective date; the March increase is placed at the order's date, 3 March. Excludes sector tariffs and China's selective February and March duties. Sources: Executive Orders 14195, 14228, 14259, 14266, 14357; Geneva joint statement; Customs Tariff Commission announcements.

[47] Executive Order 14195, Sec. 2(a); Ministry of Finance, PRC, "Customs Tariff Commission Announcement No. 1 of 2025 (additional tariffs on certain US goods)," 4 February 2025, Announcement No. 1 of 2025.
[48] "Executive Order 14228: Further Amendment to Duties Addressing the Synthetic Opioid Supply Chain in the PRC (90 FR 11463)," 7 March 2025, Sec. 2; Ministry of Finance, PRC, "Customs Tariff Commission Announcement No. 2 of 2025 (additional tariffs on certain US goods)," 4 March 2025, Announcement No. 2 of 2025.
[49] Customs Tariff Commission of the State Council (via Ministry of Finance, PRC), "Adjustments to Additional Tariffs on U.S. Imports (84 to 125 per cent)," 11 April 2025, Announcement of 11 April 2025.
[50] Executive Order 14266, Sec. 3; Executive Order 14228, Sec. 2.
[51] Executive Order 14259, Sec. 3; Executive Order 14266, Sec. 3.



Xi Jinping

Within a month both sides stepped back. After talks in Geneva, a joint statement of 12 May committed each to suspend 24 percentage points of its tariff for ninety days, keep 10 per cent, and cancel the April increases, by 14 May.[52] China also undertook to suspend or remove the non-tariff countermeasures it had taken since 2 April, and talks were to continue between Vice Premier He Lifeng on one side and the Treasury Secretary, Scott Bessent, and the Trade Representative, Jamieson Greer, on the other.[53] China duly cut its rate to 10 per cent from 14 May.[54] With the fentanyl duty unchanged, the American rate on most Chinese goods fell to 30 per cent.[55]

China's strongest lever, however, was not its tariff. On 9 October it announced far broader controls on rare earths, including on foreign-made products containing Chinese material and on rare-earth technologies.[56] At the end of October the two governments reached a wider arrangement in the Republic of Korea. By the American account, China agreed to suspend the October controls, to grant general licences for exports of rare earths, gallium, germanium, antimony and graphite to American users, to suspend its retaliatory tariffs and countermeasures, and to buy at least 12 million tonnes of American

[52] The White House, "Joint Statement on U.S.-China Economic and Trade Meeting in Geneva," 12 May 2025, US and China commitments.
[53] Joint Statement on U.S.-China Economic and Trade..., China commitments; mechanism.
[54] Customs Tariff Commission of the State Council (via Ministry of Finance, PRC), "Adjustments to Additional Tariffs on U.S. Imports (Geneva implementation)," 13 May 2025, Announcement of 13 May 2025.
[55] Joint Statement on U.S.-China Economic and Trade..., figure calculated from the documents cited; Executive Order 14228, Sec. 2.
[56] The White House, "Fact Sheet: President Donald J. Trump Strikes Deal on Economic and Trade Relations with China," 1 November 2025, China commitments; Ministry of Commerce and General Administration of Customs, PRC, "Announcement No. 70 of 2025: suspension of Announcements No. 55-58 and No. 61-62," 7 November 2025, Announcement No. 70 of 2025.

soybeans in the last two months of 2025 and 25 million tonnes a year from 2026 to 2028.[57] The United States agreed to cut the fentanyl duty by 10 percentage points from 10 November and to keep the higher reciprocal rate suspended until 10 November 2026.[58] China's commerce ministry suspended the October controls until the same date, though the April licensing of seven rare earths remained.[59] The year ended with the American duty on most Chinese goods at 20 per cent, double what it had been in February and a seventh of its April peak.[60]

Deals and grievances

For other partners the ninety-day pause became a period of negotiation. It ended with a new order on 31 July that set country rates from 7 August.[61] The new schedule rewarded and punished. Switzerland's rate rose to 39 per cent and Laos and Myanmar's to 40; Taiwan and Vietnam were set at 20, much of Southeast Asia at 19, Japan and South Korea at 15, and the United Kingdom and Brazil at 10.[62] Goods found to have been shipped through third countries to evade the duties faced 40 per cent.[63]

The largest partners bought their rates with commitments. Under a framework published on 21 August, the European Union accepted a ceiling of 15 per cent on most of its goods, or the ordinary rate where that was higher, and said it intended to remove its tariffs on all American industrial goods, buy $750 billion of American energy through 2028 and at least $40 billion of AI chips, and expected European companies to invest a further $600 billion in the United States.[64] Japan's agreement, put into effect on 4 September and backdated to 7 August, set the same 15 per cent ceiling and recorded a Japanese undertaking to invest $550 billion in projects selected by the American

[57] Fact Sheet, China commitments.
[58] Fact Sheet, US commitments; "Executive Order 14357: Modifying Duties Addressing the Synthetic Opioid Supply Chain in the PRC (90 FR 50725)," 7 November 2025, Sec. 1-2.
[59] Announcement No. 70 of 2025, Announcement No. 70 of 2025.
[60] Joint Statement on U.S.-China Economic and Trade..., figure calculated from the documents cited; Executive Order 14357, Sec. 1-2.
[61] "Executive Order 14326: Further Modifying the Reciprocal Tariff Rates (90 FR 37963)," 6 August 2025, Sec. 2.
[62] Executive Order 14326, Annex I, 90 FR 37967-37969.
[63] Executive Order 14326, Sec. 3.
[64] European Commission, Directorate-General for Trade, "Joint Statement on a United States-European Union framework on an agreement on reciprocal, fair and balanced trade," 21 August 2025, Items 1-6; Executive Order 14326, Sec. 2(c).

government.[65] South Korea's, confirmed in a joint fact sheet on 13 November after the two presidents met in Gyeongju on 29 October, set 15 per cent on Korean goods, including cars, against $150 billion of investment in shipbuilding and $200 billion more under a memorandum, capped at $20 billion a year.[66] These were commitments, not completed investments, and whether they will be fulfilled lies beyond this chapter.

Two partners were punished for reasons that had little to do with trade. On 30 July an order imposed an additional 40 per cent on Brazilian goods from 6 August, citing Brazilian court orders that compelled American platforms to censor content, the conduct of Justice Alexandre de Moraes, and the prosecution of former President Jair Bolsonaro, which the order called persecution.[67] Aircraft, energy, fertilizers and some metals were exempted.[68] In November, after negotiations had begun, certain Brazilian farm products were relieved of the duty.[69] On 6 August another order added 25 per cent on Indian goods from 27 August because India was importing Russian oil, which with India's reciprocal rate of 25 per cent made 50.[70]

Meanwhile the national-security tariffs widened. Steel and aluminium were raised from 25 to 50 per cent from 4 June.[71] Semi-finished copper products were taxed at 50 per cent from 1 August, softwood timber at 10 per cent and upholstered furniture, kitchen cabinets and vanities at 25 per cent from 14 October, and medium and heavy trucks at 25 per cent and buses at 10 from 1 November.[72] The timber proclamation honoured the new agreements, capping its rate at 10 per cent for Britain and at 15 per cent in total for the European Union and Japan.[73] And from 29 August the duty-free treatment of small parcels

[65] "Executive Order 14345: Implementing the United States-Japan Agreement (90 FR 43535)," 9 September 2025, Preamble and Sec. 2.
[66] The White House, "Joint Fact Sheet on President Donald J. Trump's Meeting with President Lee Jae Myung," 13 November 2025, Trade and investment sections; "Implementing Certain Tariff-Related Elements of the U.S.-Korea Strategic Trade and Investment Deal," 4 December 2025, Summary and dates.
[67] Executive Order 14323, Sec. 1-2.
[68] Executive Order 14323, Sec. 2(b).
[69] "Executive Order 14361: Modifying the Scope of Tariffs on the Government of Brazil (90 FR 54467)," 26 November 2025, Preamble and Sec. 1.
[70] Executive Order 14329, Sec. 2; Executive Order 14326, Annex I.
[71] "Proclamation 10947: Adjusting Imports of Aluminum and Steel Into the United States," 9 June 2025, Clause 1.
[72] Proclamation 10962, Clause 2; Proclamation 10976, Clauses 1-3, 7; Proclamation 10984, Clause 1.
[73] Proclamation 10976, Clause 7.

ended for every country, replaced for postal shipments by flat duties of $80, $160 or $200 an item.[74]

Courts and Congress

The emergency tariffs were challenged almost at once, and the challengers won. On 28 May a three-judge panel of the Court of International Trade granted summary judgment to five small businesses and twelve States.[75] It held that the emergency statute authorized none of the orders: the worldwide and retaliatory tariffs exceeded any power to regulate importation, and the drug-trafficking tariffs failed because they did not deal with the threats they named. "IEEPA does not authorize any of the Worldwide, Retaliatory, or Trafficking Tariff Orders," the court concluded, and it vacated them for everyone.[76]

The ruling changed nothing at the border. On 10 June the Court of Appeals for the Federal Circuit stayed it pending appeal and ordered the case heard by all its active judges.[77] On 29 August that court affirmed, by seven votes to four, that the trafficking and reciprocal tariffs exceeded the statute, describing them as "unbounded in scope, amount, and duration"; but it sent back the question of how broad the remedy should be.[78] The tariffs stayed in force while the government took the case to the Supreme Court, and they were collected throughout the year.

In Congress, the Senate voted on 2 April to end the Canadian emergency; the tariffs on Canada nonetheless remained in force.[79]

The world trades around America

The rest of the world did not stop trading; it traded around the United States. China's exports to the United States fell by 19.5 per cent in 2025, while its exports to Southeast Asia rose by 14.0 per cent and to the

[74] "Executive Order 14324: Suspending Duty-Free De Minimis Treatment for All Countries," 5 August 2025, Sec. 2-4.
[75] V.O.S. Selections, Inc. v. United States, Slip Op. 25-66, Opinion, pp. 1-2; Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, p. 2.
[76] V.O.S. Selections, Inc. v. United States, Slip Op. 25-66, Conclusion, pp. 48-49.
[77] United States Court of Appeals for the Federal Circuit, "V.O.S. Selections, Inc. v. Trump, order granting stay pending appeal and en banc hearing," 10 June 2025, Order, pp. 3-4.
[78] V.O.S. Selections, Inc. v. Trump, Nos. 2025-1812,..., Per curiam; Part VI; Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, p. 2.
[79] Roll Call Vote 119th Congress, 1st Session, Vote 160, Vote 160.

European Union by 9.0 per cent.[80] Its trade surplus reached $1,188.98 billion.[81] American figures show the same movement from the other side: the goods deficit with China fell by $93.4 billion, while the deficits with Taiwan and Vietnam rose by $73.0 billion and $54.7 billion.[82]

Change in the US goods deficit, 2025 over 2024 ($ billion)



First annual estimate, balance-of-payments basis. Source: Census Bureau and BEA, December and Annual 2025 release.

Other governments signed agreements without the United States. Britain and India signed a trade agreement on 24 July.[83] The four members of the European Free Trade Association and the four of Mercosur signed one in Rio de Janeiro on 16 September.[84] The European Union and Indonesia concluded negotiations a week later, on 23 September.[85] China and the members of ASEAN signed an upgrade of their free trade area in Kuala Lumpur on 28 October.[86] Even Mexico, which had refused to retaliate against the United States, closed the year by raising its own tariffs, mostly to between 25 and 35 per cent and to 50 per cent on cars, on imports from countries with which it had no trade agreement, from 1 January 2026.[87]

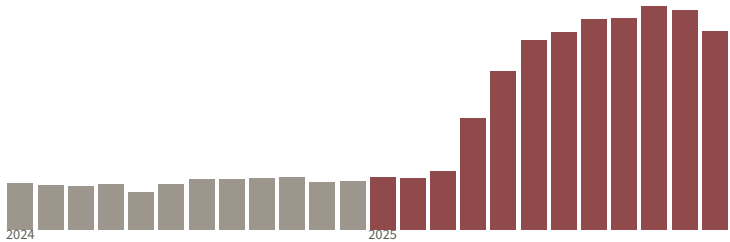
What the tariffs did

The tariffs raised a great deal of money. Net customs receipts, about $7 billion to $8 billion a month at the start of the year, reached $15.6

[80] National Bureau of Statistics of China, "Statistical Communiqué of the PRC on the 2025 National Economic and Social Development," 28 February 2026, Table 13.
[81] General Administration of Customs, PRC, "(1) China's Total Export & Import Values, Dec 2025 (in USD)," 8 January 2026, Table, January-December 2025.
[82] U.S. International Trade in Goods and Services,..., Annual Summary for 2025.
[83] GOV.UK (Department for Business and Trade), "UK-India Trade Deal (collection)," undated, Collection page.
[84] European Free Trade Association, "EFTA and MERCOSUR sign Free Trade Agreement: joint communiqué," 16 September 2025, Joint communiqué.
[85] European Commission, Directorate-General for Trade, "EU-Indonesia agreements," undated, Agreements page.
[86] State Council of the PRC (Xinhua via gov.cn), "China, ASEAN sign FTA upgrade to turbocharge high-level collaboration," 29 October 2025, News item, 29 October 2025.
[87] Diario Oficial de la Federación (via Cámara de Diputados), "Decreto por el que se reforman diversas fracciones arancelarias de la Tarifa de la LIGIE," 29 December 2025, Decree and transitional articles.

billion in April and about $30 billion a month from August; for the calendar year they came to about $264.0 billion, against $78.9 billion in 2024.[88] One independent estimate put the average effective tariff rate faced by American consumers at 16.8 per cent in November, the highest since 1935.[89]

Net customs receipts by month, 2024–2025 ($ billion)



Monthly net customs duties; 2024 in grey, 2025 in red. Source: Monthly Treasury Statement, Table 4, via the Treasury Fiscal Data API.

They did not shrink the deficit the emergency was declared to cure. In the first full-year estimate, the goods deficit rose by $25.5 billion, or 2.1 per cent, to $1,240.9 billion.[90] The broader deficit in goods and services fell by $2.1 billion, to $901.5 billion, only because the surplus in services grew.[91] A later revision raised the goods deficit further, by about 1.5 per cent.[92] Supporters of the policy could point to the sharp fall in the deficit with China; critics, to the rises with Taiwan and Vietnam.

Their effect on prices remains disputed. In April 2025 the Budget Lab at Yale had estimated that the tariffs would raise consumer prices by 2.3 per cent; a year later it reported that retrospective studies put the effect at between 0.5 and 1.0 per cent.[93] It suggested that part of the gap reflected rates that changed or were never put into effect, and that part of the cost might not yet have reached consumers or might have

[88] Monthly Treasury Statement, Table 4, Customs Duties, monthly net receipts.
[89] The Budget Lab at Yale, “State of U.S. Tariffs: November 17, 2025,” 17 November 2025, Key Takeaways 2.
[90] U.S. International Trade in Goods and Services,..., Annual Summary for 2025.
[91] U.S. International Trade in Goods and Services,..., Annual Summary for 2025.
[92] U.S. Census Bureau and Bureau of Economic Analysis, “U.S. International Trade in Goods and Services, Annual Revision (CB 26-88, BEA 26-27),” 9 June 2026, Notice, p. 1.
[93] The Budget Lab at Yale, “One Year of Tariff Analysis: What We Got Right, What Changed, and What We Learned,” 2 April 2026, Key Takeaways 1.

been borne as lower incomes rather than higher prices.[94] The question is not settled.

The legal question was. On 20 February 2026, after the year this chapter covers, the Supreme Court held by six votes to three that "IEEPA does not authorize the President to impose tariffs."[95] The Chief Justice wrote for the Court, joined in its central parts by Justices Sotomayor, Kagan, Gorsuch, Barrett and Jackson; Justices Thomas, Alito and Kavanaugh dissented.[96] The ruling reached the drug-trafficking tariffs on Canada, Mexico and China and the reciprocal tariffs of April alike.[97] It did not concern the national-security tariffs on steel, aluminium, copper, cars, trucks and timber, which rested on another statute.[98] The year's most sweeping trade policy had been built on a power the President did not have, and for most of 2025 nothing stopped it from operating.

[94] One Year of Tariff Analysis, Key Takeaways 4-5.
[95] Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, pp. 1-2.
[96] Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, p. 6.
[97] Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, pp. 1-2.
[98] Learning Resources, Inc. v. Trump, No. 24-1287..., Syllabus, pp. 1-2; Proclamation 10896, Clauses 1-2.

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